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Case Number: 26PSCV00385 Hearing Date: July 13, 2026 Dept: O

Tentative Ruling

DEFENDANTS

LOANCARE, LLC, LAKEVIEW LOAN SERVICING, LLC, AND MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC.'S DEMURRER TO PLAINTIFFS' FIRST AMENDED COMPLAINT is SUSTAINED without leave to amend.

Background

This is a
declaratory relief/quiet title action.

On

February 3, 2026, Plaintiffs OMAR ESTEVEZ and LIBERSI ESTEVEZ filed suit against Defendants GOLDEN EMPIRE MORTGAGE, INC, LOANCARE, LLC; LAKEVIEW LOAN SERVICING, LLC; MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC; and CALIFORNIA HOUSING FINANCE AGENCY.

On April 10, 2026,
Plaintiffs filed a first amended complaint (FAC) for (1) Quiet Title and (2) Declaratory Relief.

On April 17, 2026,
Plaintiffs dismissed CA Housing Finance Agency.

On May 5, 2026,
Plaintiffs dismissed Golden Empire Mortgage, Inc.

On May 12, 2026,
Defendants filed the instant demurrer.

On May 28, 2026, an
opposition was filed.

On June 17, 2026,
Plaintiffs filed a 'correspondence.'

On June 24, 2026, a
supplemental declaration was filed by Plaintiffs.

On June 29, 2026,
Plaintiffs filed another supplemental declaration.

Discussion

Plaintiffs

allege (and admit) that LoanCare is the servicer of the subject mortgage loan; that correspondence with the servicer identified Lakeview as the owner or investor of the loan associated with the Deed of Trust; Plaintiffs allege they took out the subject loan and allege that they are current on the loan, having made payments to LoanCare; Plaintiffs allege the validity of the loan and Deed of Trust. However, the gist of Plaintiffs' lawsuit is that they "only clarification of the lawful beneficiary" i.e., they want to know the "party entitled to enforce the Deed of Trust." (FAC pp. 5-6.)

However,
for all the reasons stated in the demurrer, this lawsuit fails as a matter of law.

For one, an assignment does not need to be recorded to be valid. (See e.g., Civ. Code § 2934; *Burkett v. Doty* (1917) 176 Cal. 89, 93-94; see also *Selby v. Bank of America, N.A.*, 2010 WL 4347629, *10-11 (S.D. Cal. 2010).

Additionally, Plaintiffs cannot bring a preemptive action to determine whether Defendants may enforce the loan or initiate foreclosure under the Deed of Trust. (See e.g., Demurrer p. 4, citing See

Saterbak v. JPMorgan Chase Bank, N.A., 245 Cal.App.4th 808, 814 (2016) ["California courts do not allow such preemptive suits because they 'would result in the impermissible interjection of the courts into a nonjudicial scheme enacted by the California legislature."]; see also Demurrer p. 5, quoting Gomes v. Countrywide Home Loans, Inc. (2011) 192 Cal.App.4th 1149 ["California's comprehensive statutory scheme for nonjudicial foreclosures did not permit a borrower to bring a judicial action before a foreclosure had taken place to challenge whether a foreclosing party was authorized to foreclosure."].)

Here, since Plaintiffs admit no foreclosure sale has been conducted, their action amounts to a preemptive action.

Though Plaintiffs have filed an opposition, they do not meaningfully address the points raised in demurrer and the cited authority. Instead, they recite allegations in the complaint and again concede that Defendants "are not strangers to the loan...." With that, where a plaintiff, as here, seek a declaration that a defendant has "no legal rights in the underlying notes or deeds of trust, and that the banks did not have authority to collect mortgage payments or to initiate foreclosure proceedings" based on "alleged defects in the assignments of the underlying deeds of trust, such that, [plaintiffs] contend, the banks never received any beneficial interest in the loans," the complaints were properly dismissed for failure to state a cognizable claim under California law."

(Demurrer p. 5, quoting Perez v. Mortgage Electronic Registration Systems, Inc., 959 F3d 334, 337 (2020).)

Conclusion

Based

on the foregoing, as Plaintiffs do not have standing to bring this action, the demurrer is sustained. As for leave to amend, it is denied as the lawsuit does not fail as a matter of facts but a matter of law.